

Table 8.7 (continued)

		1 Qtr	1 Year	2 Years	5 Years	Sample	Source
Term Spread [10 Yr Tsy minus 3 Mth T-bill]	Correlation <i>t</i> -stat	0.11 (1.60)	0.23 (1.84)	0.27 (1.66)	0.35 (1.61)	Mar 1953 - Dec 2011	Federal Reserve Bank of St Louis
Credit Spread [AAA minus BAA]	Correlation <i>t</i> -stat	0.02 (0.15)	0.08 (0.34)	0.12 (0.44)	0.20 (0.67)	Dec 1918 - Dec 2011	Federal Reserve Bank of St Louis
GDP Growth [Past 1 Year]	Correlation <i>t</i> -stat	0.01 (0.17)	-0.13 (-1.37)	-0.11 (-1.25)	-0.08 (-0.84)	Jun 1947 - Dec 2011	BEA
Inflation [Past 1 Year]	Correlation <i>t</i> -stat	-0.07 (-1.07)	-0.12 (-0.94)	-0.10 (-0.58)	-0.03 (-0.09)	Mar 1914 - Dec 2011	Federal Reserve Bank of St Louis
Industrial Production [Past 1 Year]	Correlation <i>t</i> -stat	-0.01 (-0.06)	-0.04 (-0.25)	0.02 (0.08)	-0.04 (-0.20)	Dec 1919 - Dec 2011	Federal Reserve Bank
Oil Price [Past 1-Year Change]	Correlation <i>t</i> -stat	-0.10 (-1.20)	-0.18 (-1.20)	-0.16 (-1.08)	-0.11 (-0.78)	Dec 1945 - Dec 2011	Federal Reserve Bank of St Louis
Unemployment Rate	Correlation <i>t</i> -stat	0.12 (1.86)	0.22 (1.85)	0.19 (1.08)	0.22 (0.75)	Dec 1947 - Dec 2011	Bureau of Labor Statistics